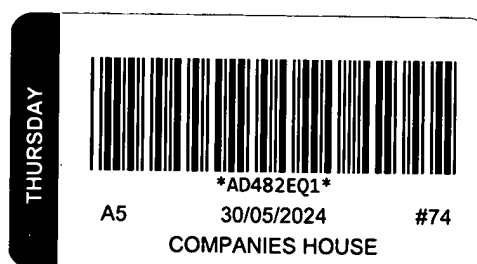


Registration number: 01899316

Bridgepoint Advisers Holdings
ANNUAL REPORT AND FINANCIAL STATEMENTS
FOR THE YEAR ENDED 31 DECEMBER 2023



Bridgepoint Advisers Holdings

Strategic Report for the Year Ended 31 December 2023

The Directors present their strategic report for the year ended 31 December 2023.

Principal activity

The principal activity of Bridgepoint Advisers Holdings (the "Company") is to act as a holding company for subsidiary undertakings and also invest into certain of the funds managed by subsidiaries of Bridgepoint Group plc ("the Group"). There have not been any significant changes in the Company's principal activities during the year under review.

Results

The profit for the financial year is £30.9m (2022: £49.7m) and at the year end the Company has net assets of £207.4m (2022: £176.5m).

Principal risks and uncertainties

The Company's main income is generated from investments in limited partnerships. The business is subject to risks associated with the performance of the funds managed and the tax and regulatory regimes within which its business operates.

Investment performance

The Company may experience poor investment performance of subsidiary undertakings and of the funds managed by the Group due to the failure of strategies implemented in managing the portfolio of assets. This would impact dividend income, investment income, carried interest income and the impairment of subsidiaries. In order to minimise the impact of poor investment performance, the Group has in place a robust and disciplined investment process where investments are analysed and selected by the Group's Operating Committees and Investment Advisory Committees. Portfolio Management and Portfolio Review Committees regularly monitor investment performance and delivery of investment objectives. Investment processes not only evaluate and mitigate the risks inherent in particular investments or divestments, but also ensure that all investment decisions are taken in accordance with the relevant fund's investment strategy.

Regulatory risk

As the Group has corporate and fund entities located in multiple jurisdictions and a diverse investor base, it is subject to a wide range of laws and regulations and supervised by a number of regulators. Failure to comply with these professional conduct rules, laws and regulations may put the Group at risk of fines, lawsuits or reputational damage. The Group has dedicated Legal and Compliance functions that provide guidance to the business on its regulatory and legal obligations. These functions monitor regulatory and legislative changes in the jurisdictions in which the Group operate and interact with regulators and industry bodies to stay informed of regulatory changes.

Loss of key personnel

The Company relies on the expertise and knowledge of investment executives of the Group. Unexpected loss of one or more key employees could adversely affect the Company's business. The Group has competitive incentive schemes designed to attract and retain its people and is committed to providing competitive remuneration packages.

Technology risk

The Group relies on the secure processing, storage and transmission of confidential and other information in its computer systems and networks. Cyber-security incidents and cyber-attacks have been occurring globally at a more frequent and severe level and will likely continue to increase in frequency in the future. Cyber-security failures, technology failures or data security breaches could result in the confidentiality, integrity or availability of data being negatively affected, causing disruption or damage to us. The Group has in place an internal vulnerability management programme, as well as critical asset processes to patch critical vulnerabilities.

Bridgepoint Advisers Holdings

Strategic Report for the Year Ended 31 December 2023

Foreign exchange risk

The Company is subject to foreign exchange risk arising from its income earned. Further details of the exposure is included in notes to these financial statements.

Credit and liquidity risk

Credit risk is the risk of financial loss to the Company as a result of a counterparty failing to meet its contractual obligations. This risk is principally in connection with the Company's receivables from group undertakings. The Directors consider the Company's credit exposure to trade and other receivables to be low. The Company's credit exposure to the Group entities is linked to the liquidity risk of the Group.

Key performance indicators

The Company considers investment performance, income from investments in limited partnerships and profit before tax as the key performance indicators of the business. Given the straightforward nature of the business, the Directors are of the opinion that analysis using key performance indicators is not necessary for an understanding of the development, performance, or position of the business.

Statement by the Directors in performance of their statutory duties in accordance with s172(1) Companies Act 2006

The Directors of the Company, as those of all UK companies, must act in accordance with a set of general duties, which are detailed in Section 172 of the UK Companies Act 2006.

A Director of a company must act in the way they consider, in good faith, would be most likely to promote the success of the company for the benefit of its shareholders as a whole and, in doing so have regard (among other matters) to:

- the likely consequences of any decision in the long-term;
- the interest of the company's employees;
- the need to foster the company's relationships with suppliers, customers and others;
- the impact of the company's operations on the community and environment;
- the desirability of the company maintaining a reputation for high standards of business conduct; and
- the need to act fairly as between shareholders of the company

Bridgepoint Group plc has a Group Board (which are the Directors of Bridgepoint Group plc) which takes executive responsibility for the strategic direction of the Group entities including the Company. It has executive responsibility for setting the Group's strategy and ensuring that the shared values and business objectives are upheld and met.

The Directors of the Company are involved in decisions that impact the Company as required under the Companies Act 2006. Such matters include making commitments to investments and subsidiary companies and a decision to pay a dividend.

An explanation of how the Group Board has considered the matters set out in Section 172 (for the Group, and including the Company) is set out in the Annual Report and Accounts of Bridgepoint Group plc. This includes details of the development, performance and position of the Group, as well as how the Group undertakes business conduct, employee and fund investor engagement, risk management and community engagement.

Approved by the Board and signed on its behalf on 24 April 2024 by:



A M Jones
Director

Bridgepoint Advisers Holdings

Directors' Report for the Year Ended 31 December 2023

The Directors present their annual report together with the audited financial statements (the "financial statements") of the Company for the year ended 31 December 2023.

Results and dividends

The results for the financial year are shown on page 10.

No dividend was paid in the current year (2022: nil).

Future developments

In the future, the Company will continue to act as a holding company and continue to invest in certain Funds managed by subsidiaries of the Bridgepoint Group.

Directors of the Company

The Directors who held office during the year and up to to the date of this report were as follows:

J R Hughes

A M Jones

P Koziarski (appointed 13 February 2024)

D S Plant (appointed 13 February 2024)

R C Thompson

G P Weldon (resigned on 13 February 2024)

E G Woods (resigned on 13 February 2024 and reappointed on 4 March 2024)

Directors' indemnity

During the year and at the time of signing, a Bridgepoint Group entity maintains liability insurance for Directors and officers of the Bridgepoint Group and associated companies, which includes the Company. This is a qualifying third party indemnity provision for the purpose of the Companies Act 2006.

Statement of Directors' Responsibilities

The Directors acknowledge their responsibilities for preparing the annual report and the financial statements in accordance with applicable law and regulations.

Company law requires the Directors to prepare financial statements for each financial year. Under that law the Directors have elected to prepare the financial statements in accordance with United Kingdom Generally Accepted Accounting Practice (United Kingdom Accounting Standards, comprising FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland", and applicable law). Under company law the Directors must not approve the financial statements unless they are satisfied that they give a true and fair view of the state of affairs of the Company and of the profit or loss of the Company for that period. In preparing these financial statements, the Directors are required to:

- select suitable accounting policies and apply them consistently;
- make judgements and accounting estimates that are reasonable and prudent;
- state whether applicable United Kingdom Accounting Standards, comprising FRS 102, have been followed, subject to any material departures disclosed and explained in the financial statements; and
- prepare the financial statements on the going concern basis unless they either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

The Directors are responsible for keeping adequate accounting records that are sufficient to show and explain the Company's transactions and disclose with reasonable accuracy at any time the financial position of the Company and enable them to ensure that the financial statements comply with the Companies Act 2006. They are also responsible for safeguarding the assets of the Company and hence for taking reasonable steps for the prevention and detection of fraud and other irregularities.

Bridgepoint Advisers Holdings

Directors' Report for the Year Ended 31 December 2023

The Directors are responsible for the maintenance and integrity of the corporate and financial information included on the Company's website. Legislation in the UK governing the preparation and dissemination of financial statements may differ from legislation in other jurisdictions.

Financial risk management

In the normal course of business, financial instruments are used for the purpose of managing exposures to foreign exchange movements. The Company's operations expose it to market, credit and liquidity risk. Further information is included in note 15 to the financial statements.

Statement of engagement with suppliers, customers and others in a business relationship with the company

From the perspective of the Directors of the Company, as a result of the group governance structure, the Group Board has taken the lead in carrying out the duties of the Company in respect of its shareholders, employees, fund investors and community engagement. An explanation of how the Group Board has carried out these responsibilities (for the Group and for the Company) is set out in the Annual Report and Accounts of Bridgepoint Group plc.

Post balance sheet events

There were no material events after the reporting period that would require adjusting or disclosing within these accounts.

Disclosure of information to the auditor

Each Director at the time when the Directors' Report is approved has confirmed that:

- so far as the Director is aware, there is no relevant audit information needed by the Company's auditor in connection with preparing their report of which the Company's auditor is unaware; and
- the Director has taken all the steps that ought to have been taken as a Director in order to be aware of any relevant audit information and to establish that the Company's auditor is aware of that information.

Appointment of auditor

Pursuant to Section 487 of the Companies Act 2006, the auditors will be deemed to be reappointed and Mazars LLP will therefore continue in office.

Approved by the Board and signed on its behalf on 24 April 2024 by:



A M Jones
Director

Independent auditor's report to the members of Bridgepoint Advisers Holdings

Opinion

We have audited the financial statements of Bridgepoint Advisers Holdings (the 'Company') for the year ended 31 December 2023 which comprise the Profit and Loss Account, the Statement of Comprehensive Income, the Balance Sheet, the Statement of Changes in Equity and notes to the financial statements, including a summary of significant accounting policies.

The financial reporting framework that has been applied in their preparation is applicable law and United Kingdom Accounting Standards, including FRS 102 "The Financial Reporting Standard applicable in the UK and Republic of Ireland" (United Kingdom Generally Accepted Accounting Practice).

In our opinion, the financial statements:

- give a true and fair view of the state of the Company's affairs as at 31 December 2023 and of its profit for the year then ended;
- have been properly prepared in accordance with United Kingdom Generally Accepted Accounting Practice; and
- have been prepared in accordance with the requirements of the Companies Act 2006.

Basis for opinion

We conducted our audit in accordance with International Standards on Auditing (UK) (ISAs (UK)) and applicable law. Our responsibilities under those standards are further described in the "Auditor's responsibilities for the audit of the financial statements" section of our report. We are independent of the Company in accordance with the ethical requirements that are relevant to our audit of the financial statements in the UK, including the FRC's Ethical Standard, and we have fulfilled our other ethical responsibilities in accordance with these requirements. We believe that the audit evidence we have obtained is sufficient and appropriate to provide a basis for our opinion.

Conclusions relating to going concern

In auditing the financial statements, we have concluded that the directors' use of the going concern basis of accounting in the preparation of the financial statements is appropriate.

Based on the work we have performed, we have not identified any material uncertainties relating to events or conditions that, individually or collectively, may cast significant doubt on the Company's ability to continue as a going concern for a period of at least twelve months from when the financial statements are authorised for issue.

Our responsibilities and the responsibilities of the directors with respect to going concern are described in the relevant sections of this report.

Other information

The other information comprises the information included in the annual report, other than the financial statements and our auditor's report thereon. The directors are responsible for the other information contained within the annual report. Our opinion on the financial statements does not cover the other information and, except to the extent otherwise explicitly stated in our report, we do not express any form of assurance conclusion thereon.

Our responsibility is to read the other information and, in doing so, consider whether the other information is materially inconsistent with the financial statements or our knowledge obtained in the course of the audit, or otherwise appears to be materially misstated. If we identify such material inconsistencies or apparent material misstatements, we are required to determine whether this gives rise to a material misstatement in the financial statements themselves. If, based on the work we have performed, we conclude that there is a material misstatement of this other information, we are required to report that fact.

We have nothing to report in this regard.

Opinions on other matters prescribed by the Companies Act 2006

In our opinion, based on the work undertaken in the course of the audit:

- the information given in the strategic report and the directors' report for the financial year for which the financial statements are prepared is consistent with the financial statements; and
- the strategic report and the directors' report have been prepared in accordance with applicable legal requirements.

Matters on which we are required to report by exception

In light of the knowledge and understanding of the Company and its environment obtained in the course of the audit, we have not identified material misstatements in the strategic report or the directors' report.

We have nothing to report in respect of the following matters in relation to which the Companies Act 2006 requires us to report to you if, in our opinion:

- adequate accounting records have not been kept, or returns adequate for our audit have not been received from branches not visited by us; or
- the financial statements are not in agreement with the accounting records and returns; or
- certain disclosures of directors' remuneration specified by law are not made; or
- we have not received all the information and explanations we require for our audit.

Responsibilities of Directors

As explained more fully in the Statement of Directors' Responsibilities set out on page 3, the directors are responsible for the preparation of the financial statements and for being satisfied that they give a true and fair view, and for such internal control as the directors determine is necessary to enable the preparation of financial statements that are free from material misstatement, whether due to fraud or error.

In preparing the financial statements, the directors are responsible for assessing the Company's ability to continue as a going concern, disclosing, as applicable, matters related to going concern and using the going concern basis of accounting unless the directors either intend to liquidate the Company or to cease operations, or have no realistic alternative but to do so.

Auditor's responsibilities for the audit of the financial statements

Our objectives are to obtain reasonable assurance about whether the financial statements as a whole are free from material misstatement, whether due to fraud or error, and to issue an auditor's report that includes our opinion. Reasonable assurance is a high level of assurance but is not a guarantee that an audit conducted in accordance with ISAs (UK) will always detect a material misstatement when it exists. Misstatements can arise from fraud or error and are considered material if, individually or in the aggregate, they could reasonably be expected to influence the economic decisions of users taken on the basis of the financial statements.

The extent to which our procedures are capable of detecting irregularities, including fraud is detailed below.

Irregularities, including fraud, are instances of non-compliance with laws and regulations. We design procedures in line with our responsibilities, outlined above, to detect material misstatements in respect of irregularities, including fraud.

Based on our understanding of the Company and its industry, we considered that non-compliance with the following laws and regulations might have a material effect on the financial statements: tax legislation, the UK Bribery Act and anti-money laundering regulation.

To help us identify instances of non-compliance with these laws and regulations, and in identifying and assessing the risks of material misstatement in respect to non-compliance, our procedures included, but were not limited to:

- inquiring of management and, where appropriate, those charged with governance, as to whether the Company is in compliance with laws and regulations, and discussing their policies and procedures regarding compliance with laws and regulations;
- inspecting correspondence, if any, with relevant licensing or regulatory authorities;
- communicating identified laws and regulations to the engagement team and remaining alert to any indications of non-compliance throughout our audit; and
- considering the risk of acts by the Company which were contrary to applicable laws and regulations, including fraud.

We also considered those laws and regulations that have a direct effect on the preparation of the financial statements, such as the Companies Act 2006.

In addition, we evaluated the directors' and management's incentives and opportunities for fraudulent manipulation of the financial statements, including the risk of management override of controls, and determined that the principal risks related to manipulating accounting records, preparing fraudulent financial statements by overriding controls that otherwise appear to be operating effectively and management bias through judgements and assumptions in significant accounting estimates, in particular in relation to valuation of private equity and credit funds and recognition of carried interest income and measurement of carried interest receivable.

Our audit procedures in relation to fraud included but were not limited to:

- making enquiries of the directors and management on whether they had knowledge of any actual, suspected or alleged fraud;
- gaining an understanding of the internal controls established to mitigate risks related to fraud;
- discussing amongst the engagement team the risks of fraud;
- critically assessing accounting estimates impacting amounts included in the financial statements for evidence of management bias; and
- addressing the risks of fraud through management override of controls by performing journal entry testing.

There are inherent limitations in the audit procedures described above and the primary responsibility for the prevention and detection of irregularities including fraud rests with management. As with any audit, there remained a risk of non-detection of irregularities, as these may involve collusion, forgery, intentional omissions, misrepresentations or the override of internal controls.

A further description of our responsibilities for the audit of the financial statements is located on the Financial Reporting Council's website at www.frc.org.uk/auditorsresponsibilities. This description forms part of our auditor's report.

Use of the audit report

This report is made solely to the Company's members as a body in accordance with Chapter 3 of Part 16 of the Companies Act 2006. Our audit work has been undertaken so that we might state to the Company's members those matters we are required to state to them in an auditor's report and for no other purpose. To the fullest extent permitted by law, we do not accept or assume responsibility to anyone other than the Company and the Company's members as a body for our audit work, for this report, or for the opinions we have formed.

Diego Fernandez
Diego Fernandez (Apr 24, 2024 16:24 GMT+1)

Diego Fernandez (Senior Statutory Auditor) for and on behalf of Mazars LLP
Chartered Accountants and Statutory Auditor
30 Old Bailey
London
EC4M 7AU
24 April 2024

Bridgepoint Advisers Holdings

Profit and Loss Account for the Year Ended 31 December 2023

	Note	2023 £ 000	2022 £ 000
Income from shares in group undertakings		19	471
Income from investments in limited partnerships		13,845	41,170
Carried interest	11	30,124	23,640
Other income		<u>793</u>	<u>-</u>
Total turnover		44,781	65,281
Fees payable		(50)	(51)
Administrative expenses		(357)	(4,479)
Net foreign exchange gains		<u>593</u>	<u>129</u>
Operating profit	5	<u>44,967</u>	<u>60,880</u>
Interest receivable and similar income		51	69
Interest payable and similar expenses		<u>(1,027)</u>	<u>(1,680)</u>
Profit before tax		43,991	59,269
Taxation	8	<u>(13,137)</u>	<u>(9,531)</u>
Profit for the financial year		<u><u>30,854</u></u>	<u><u>49,738</u></u>

The results above relate to continuing operations.

The notes on pages 14 to 36 form an integral part of these financial statements.

Bridgepoint Advisers Holdings

Statement of Comprehensive Income for the Year Ended 31 December 2023

	Note	2023 £ 000	2022 £ 000
Profit for the year		30,854	49,738
Other comprehensive income:			
Other comprehensive income for the year, net of tax		-	-
Total comprehensive income for the year		<u>30,854</u>	<u>49,738</u>

The results above relate to continuing operations.

The notes on pages 14 to 36 form an integral part of these financial statements.

Bridgepoint Advisers Holdings
(Registration number: 01899316)
Balance Sheet as at 31 December 2023

	Note	2023 £ 000	2022 £ 000
Non-current assets			
Investments in subsidiaries	9	115,073	112,220
Fund investments	10	278,500	238,254
Carried interest receivable	11	64,821	39,397
Debtors: amounts falling due after more than one year	12	3,301	3,380
		<u>461,695</u>	<u>393,251</u>
Current assets			
Debtors: amounts falling due within one year	12	118,901	157,598
Other investments		7,500	-
Cash and cash equivalents		<u>1,112</u>	<u>11,406</u>
		127,513	169,004
Current liabilities			
Creditors: amounts falling due within one year	13	<u>(337,394)</u>	<u>(349,416)</u>
Net current liabilities		<u>(209,881)</u>	<u>(180,412)</u>
Total assets less current liabilities		251,814	212,839
Trade and other payables	13	(12,603)	(12,934)
Provisions for liabilities		<u>(31,854)</u>	<u>(23,402)</u>
Net assets		<u>207,357</u>	<u>176,503</u>
Capital and reserves			
Called up share capital	16	5,329	5,329
Retained earnings		<u>202,028</u>	<u>171,174</u>
Total equity		<u>207,357</u>	<u>176,503</u>

The financial statements of Bridgepoint Advisers Holdings were approved and authorised by the Board of Directors and signed on its behalf on 24 April 2024 by



A M Jones
Director

The notes on pages 14 to 36 form an integral part of these financial statements.

Bridgepoint Advisers Holdings

Statement of Changes in Equity for the Year Ended 31 December 2023

	Called up share capital £ 000	Retained earnings £ 000	Total equity £ 000
At 1 January 2022	5,329	121,436	126,765
Profit for the year	-	49,738	49,738
Other comprehensive income	-	-	-
Total comprehensive income for the year	-	49,738	49,738
At 31 December 2022	5,329	171,174	176,503

	Called up share capital £ 000	Retained earnings £ 000	Total equity £ 000
At 1 January 2023	5,329	171,174	176,503
Profit for the year	-	30,854	30,854
Other comprehensive income	-	-	-
Total comprehensive income for the year	-	30,854	30,854
At 31 December 2023	5,329	202,028	207,357

The notes on pages 14 to 36 form an integral part of these financial statements.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

1 General information

The Company is a private unlimited company domiciled in the United Kingdom. The Company is incorporated in England and Wales. The address of its registered office and principal place of business is 5 Marble Arch, London, England, W1H 7EJ.

2 Statement of compliance

The individual financial statements of the Company have been prepared in compliance with United Kingdom Accounting Standards, including Financial Reporting Standard 102, "The Financial Reporting Standard applicable in the United Kingdom and Republic of Ireland" ("FRS 102") and the Companies Act 2006.

3 Summary of significant accounting policies

The principal accounting policies applied in the preparation of these financial statements are set out below. These policies have been consistently applied to all the years presented, unless otherwise stated.

a Basis of preparation

These financial statements have been prepared under the historical cost convention, as modified by certain financial assets and liabilities measured at fair value through profit or loss, when it is required by FRS 102.

b Consolidation

Under section 400 of the Companies Act 2006, the Company is exempt from the requirement to prepare consolidated accounts as it is itself a subsidiary undertaking and it is a wholly-owned subsidiary of Bridgepoint Group plc, a company incorporated within the United Kingdom, which prepares consolidated accounts that include the Company and its subsidiaries.

c Going concern

The directors are required to assess and confirm the appropriateness of the going concern assumption as the basis of preparation. Whilst the Company has net current liabilities as a result of its activity as an investor in funds managed by Bridgepoint and as a holding company for the Group's subsidiaries, this largely consists of intercompany payables.

As the Company does not operate as a standalone entity but contributes to the performance of the Group to which it belongs, which is headed by Bridgepoint Group plc, it is appropriate to consider the going concern of the Company with reference to the Group's viability and performance.

The assessment for the Group has been performed for a period of at least 12 months from the date of the approval of Company's financial statements. This assessment considered a wide range of information including the Group's business and operating models and strategy, the risk appetite and details of the approach to managing risk and a summary of the current financial position and resources, from this assessment it is concluded that the Company remains a going concern.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

d Exemption under Financial Reporting Standards

FRS 102 allows a qualifying entity certain disclosure exemptions, subject to certain conditions, which have been complied with, including notification of, and no objection to, the use of the exemptions by the Company's shareholder. The Company has taken advantage of the following exemptions:

Cash Flow Statement - The Company has taken advantage of the exemption, under FRS 102 paragraph 1.12 (b), from preparing a statement of cash flows, on the basis that it is a qualifying entity and its ultimate parent company, Bridgepoint Group plc, includes the Company's cash flows in their own consolidated financial statements.

Related Party Transactions - The Company has taken advantage of the exemption, under FRS 102 paragraph 33.1A, from disclosing related party transactions within the Bridgepoint Group on the grounds that 100% of the voting rights are controlled within the Group. Transactions with the Bridgepoint funds and the shareholders of the Bridgepoint Group are not exempt and are disclosed where applicable.

e Revenue recognition

Income is recognised in the Profit and Loss Account and the Statement of Comprehensive Income on an accruals basis.

Income from shares in Group undertakings comprises dividend income. Dividend income is recognised in profit or loss on the date on which the Company's right to receive payment is established.

Income from investments in Limited Partnerships consists primarily of fair value measurements of the Company's investments in private equity and credit funds. Details of the valuation of such investments is explained further within note 4.

Other income from Investments in Limited Partnerships also comprises annual share from Limited Partnerships. Such income is recognised when the right to receive payment is established.

Carried interest consist of income from fund profits through the Company's holdings in Founder Partnerships as variable consideration dependent on the level of fund returns. The entitlement to carried interest and the amount is determined by the level of accumulated profits exceeding an agreed threshold (the "hurdle") over the life-time of each fund. The carried interest income is only recognised to the extent it is highly probable that there would not be a significant reversal of any accumulated revenue recognised on the completion of a fund. The reversal risk due to uncertainty of future fund performance is managed through the application of discounts. This is explained further within note 4. Amounts are typically presented as non-current assets unless they are expected to be received within the next 12 months.

Other income includes income earned from loans made to fund portfolio companies. Interest income is accrued on the principal amount of the loans based on the contractual interest rate.

All income is generated within the UK.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

f Expenses

Expenses incurred have been recognised on an accruals basis.

g Interest income and expense

Interest income and expense is recognised using the effective interest rate method.

Credit facility arrangement fees are capitalised and amortised to the Profit and Loss Account using the effective interest method over the term of the facility.

h Taxation

Taxation expense for the period comprises current and deferred tax recognised in the reporting period. Tax is recognised in the profit and loss account, except to the extent that it relates to items recognised in other comprehensive income or directly in equity. In this case tax is also recognised in other comprehensive income or directly in equity respectively.

Current tax is the amount of income tax payable in respect of the taxable profit for the year or prior year. Tax is calculated on the basis of tax rates and laws that have been enacted or substantively enacted by the period end.

Deferred tax arises from timing differences that are differences between taxable profits and total comprehensive income as stated in the financial statements. These timing differences arise from the inclusion of income and expenses in tax assessments in periods different from those in which they are recognised in financial statements.

Deferred tax is recognised on all timing differences at the reporting date except for certain exceptions. Unrelieved tax losses and other deferred tax assets are only recognised when it is probable that they will be recovered against the reversal of deferred tax liabilities or other future taxable profits. Deferred tax is measured using tax rates and laws that have been enacted or substantively enacted by the period end and that are expected to apply to the reversal of the timing difference.

Deferred taxation assets and liabilities are not discounted.

i Foreign currency transactions and balances

The Company's functional and presentation currency is the pound sterling. These financial statements are presented in pound sterling and rounded to thousands.

Foreign currency transactions are translated into the functional currency using the opening spot exchange rate for the month in which the transaction occurs as an approximation for the actual rate at the date of the transaction. Monetary assets and liabilities denominated in foreign currencies are translated to sterling using the closing rate at the year-end. Non-monetary items measured at historical cost are translated using the exchange rate at the date of the transaction and non-monetary items measured at fair value are measured using the exchange rate when fair value was determined.

Foreign currency gains and losses are recognised in the Profit and Loss Account.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

j Derivative instruments and hedge accounting

The Company enters derivative instruments to manage its exposure to foreign exchange rate risk, namely foreign currency forwards. Derivative financial instruments are initially measured at fair value on the date on which the derivative contract is entered into and are subsequently measured at fair value at each reporting date.

As the derivatives are designated as fair value hedges, all fair value movements are recognised in the Profit and Loss Account. Where a derivative relates to a hedge of investments in foreign currencies, the profit or loss on the revaluation of the hedging instrument is recognised together with the investment returns in the Profit and Loss account.

Prior to their settlement, derivatives are carried as assets when the fair value is positive and as liabilities when the fair value is negative. The fair value of unsettled forward currency contracts is calculated by reference to the market for forward contracts with similar maturities.

k Cash and cash equivalents

Cash and cash equivalents comprise cash in hand and call deposits, held at call with banks with an original maturity of three months or less.

l Debtors

Short term debtors are measured at the transaction price, less any impairment. Loans receivable are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment, except where repayable on demand. The fair value of balances repayable on demand is discounted from the earliest date it can be demanded.

m Creditors

Short term creditors are measured at the transaction price. Other financial liabilities, are measured initially at fair value, net of transaction costs, and are measured subsequently at amortised cost using the effective interest method, less any impairment, except where repayable on demand. The fair value of balances repayable on demand is discounted from the earliest date it can be demanded.

n Financial instruments

Financial assets and liabilities are recognised when the Company becomes a party to the contractual provisions of the instrument. The Company has chosen to adopt Sections 11 and 12 of FRS 102 in respect of financial instruments.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

3 Summary of significant accounting policies (continued)

n Financial instruments (continued)

Fund investments

Investments representing interests in private equity and credit funds are initially recognised at fair value and subsequently measured at fair value through the Profit and Loss Account. The Group's undertakings are fair valued using the net asset value of the underlying fund determined by the manager of the underlying fund. This is reassessed by the Directors considering all factors, information and data deemed to be pertinent.

Investments within each fund are measured at fair value as determined in good faith by the manager in accordance with the terms of the Limited Partnership Agreement ("LPA") of each fund and the International Private Equity and Venture Capital Valuation Guidelines ("IPEV") and are reviewed and approved by the relevant Bridgepoint Valuation Committees. The valuations provided by the managers typically reflect the fair value of the Group's proportionate share of capital account balance of each investment as at 31 December 2023 or the latest available date.

Investments in subsidiary undertakings

Investments in subsidiary undertakings, that are not investment vehicles, are stated at cost less provision for any impairment. Provisions are only made where in the opinion of the Directors there is an impairment in value.

Loan to subsidiaries

Interest free loans to subsidiaries, due in greater than one year, are financing transactions. They are measured at the present value of the future payments discounted at a market rate of interest for a similar debt instrument. Such assets are subsequently carried at amortised cost using the effective interest rate method. For loans which are repayable on demand, they are recognised at transaction price as the present value of a financial asset that is repayable on demand is equal to the undiscounted cash amount payable reflecting the lender's right to demand immediate repayment.

Loans to subsidiaries with market interest rate are basic debt instruments and are recognised at transaction price and measured at amortised cost using the effective interest rate method.

Other investments

Other investments include, but are not limited to, loans made to fund portfolio companies. Other investments that are held to collect contractual cash flows and which contain contractual terms that give rise on specified dates to cash flows that are solely payments of principal and interest are measured at amortised cost.

o Dividends

Dividends and other distributions to the Company's shareholder are recognised in the period in which the dividends and other distributions are approved by the shareholder. These amounts are recognised in the statement of changes in equity.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

4 Judgements in applying accounting policies and key sources of estimation uncertainty

In applying the Company's accounting policies, the Directors may be required to make judgements, estimates and assumptions that could impact the amounts reported for assets and liabilities as at the reporting date and the amounts reported for revenues and expenses during the year. The Directors' judgements, estimates and assumptions are based on the best and most reliable evidence available at the time when the decisions are made, and are based on historical experience and other factors that are considered to be applicable. Due to the inherent subjectivity involved in making such judgements, estimates and assumptions, the actual results and outcomes may differ.

The judgements, estimates and underlying assumptions are reviewed on an on-going basis. Revisions to accounting estimates are recognised in the year in which the estimate is revised if, the revision affects only that year, the year of the revision and future years, or if the revision affects both current and future years. The Directors do not consider the financial statements to have any matters requiring significant judgement. Critical estimates are discussed further below.

(a) Estimates

Valuation of fund investments at fair value

Fund investments at fair value consist of investments in private equity and credit funds. The investments are fair valued using the net asset value of each fund, determined by the Manager. These funds are invested into direct and indirect equity and debt investments.

Portfolio assets within each fund are stated at fair value as determined in good faith by the Manager in accordance with the terms of the LPA of each fund and the IPEV Guidelines and are reviewed and approved by the relevant Bridgepoint Valuation Committee. The valuations provided by the Managers typically reflect the fair value of the Group's proportionate share of capital account balance of each investment as at the reporting date or the latest available date.

The market approach is typically used for the valuation of the assets. This comprises valuation techniques such as market comparable companies and multiple techniques. A market comparable approach uses quoted market prices or third-party quotes for similar instruments to determine the fair value of a financial asset. A multiple approach can be used in the valuation of less liquid securities, which typically form the majority of assets within a private equity or credit fund.

Recognition and measurement of carried interest revenue

The Company is an investor in Carried Interest Partnerships ('CIPs') which entitles it to receipts of carried interest from funds.

Carried interest revenue is only recognised to the extent it is highly probable that there would not be a significant reversal of any accumulated revenue recognised on the completion of a fund.

In determining the amount of revenue to be recognised the Group is required to make assumptions and estimates when determining (i) whether or not revenue should be recognised and (ii) the timing and measurement of such amounts.

The Group bases its assessment on the best available information pertaining to the funds and the activity of the underlying assets within that fund. This includes the current fund valuation and internal forecasts on the expected timing and disposal of fund assets.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

4 Judgements in applying accounting policies and key sources of estimation uncertainty (continued)

Recognition and measurement of carried interest revenue (continued)

For private equity funds, the constraints on estimating the revenue are incorporated through the application of discounts of 15% to 40% (2022: 30% to 50%) to the unrealised fair values of investments where the cumulative value of the distributions to investors and unrealised fair value of investments of a fund exceeds the relevant carried interest hurdle (being the contractual minimum return for fund investors).

For credit funds, which are more sensitive to the performance of individual investments within the portfolio, only funds that have either reached their hurdle or are expected to do so imminently are modelled on the same basis.

The discount applied for each fund depends on the stage and maturity profile of each fund, and therefore recognises the de-risking of the income over time, taking into account diversity of assets, whether there has been a recent market correction (and whether this has been already factored into the valuation of the fund) and the expected average remaining holding period. Reasons for a higher discount may include where the fund has not yet completed its construction, has not yet returned its original capital commitments and there is the potential for the hurdle to grow further, or there is a higher level of perceived risk (fund specific or macro-economic). Reasons for a lower discount include where a fund has returned its capital commitments and the hurdle has stopped or where the fund has already started to pay carry. The levels of discounts applied are reassessed annually.

The amount of the adjustments for the current period and each prior period are disclosed within note 11.

5 Operating profit

Arrived at after charging:

	2023	2022
	£ 000	£ 000
Foreign exchange (gains)	(593)	(129)

Auditors remuneration paid to Mazars for the audit of the Company is £43,750 (2022: £42,140) borne by a fellow subsidiary undertaking.

6 Employees

The Company did not employ any personnel during the year (2022: none).

7 Directors' remuneration

None of the Directors received any remuneration directly from the Company during the year (2022: none). Remuneration received by individual Directors who are employed and paid by another Group entity cannot be sensibly attributed across the entities for which each Director is a Director of.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

8 Taxation

(a) Tax expense included in the Profit and Loss Account

	2023 £ 000	2022 £ 000
Current taxation:		
UK corporation tax	4,011	8,743
UK corporation tax adjustment to prior periods	674	(1,191)
Total current tax	<u>4,685</u>	<u>7,552</u>
Deferred taxation:		
Arising from origination and reversal of timing differences	8,805	1,979
Deferred tax adjustment to prior periods	(353)	-
Total deferred tax	<u>8,452</u>	<u>1,979</u>
Tax charge on profit	<u><u>13,137</u></u>	<u><u>9,531</u></u>

(b) Reconciliation of tax charge

The tax on profit before tax for the year is different to the standard rate of corporation tax in the UK for the year ended 31 December 2023 of 23.5% (2022: 19%).

The differences are reconciled below:

	2023 £ 000	2022 £ 000
Profit before tax	<u>43,991</u>	<u>59,269</u>
Corporation tax at standard rate in the UK of 23.5% (2022: 19%)	<u>10,338</u>	<u>11,261</u>
Timing differences	-	1,979
Expenses not deductible for tax purposes	44	1,165
Income not charged to UK corporation tax	86	(86)
Unrealised fair value movement in respect of investments	(1,550)	(11,938)
Effect of tax rate changes	447	-
Income allocated by limited partnerships	3,450	8,341
Adjustment in respect of prior years	<u>322</u>	<u>(1,191)</u>
	<u>2,799</u>	<u>(1,730)</u>
Total tax charges for the year	<u><u>13,137</u></u>	<u><u>9,531</u></u>

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries

	Subsidiary Undertakings £ 000
At 1 January 2022	112,400
Additions	16,000
Disposals	(16,180)
At 31 December 2022	112,220
At 1 January 2023	112,220
Additions	2,853
Disposals	-
At 31 December 2023	115,073

Investments in subsidiaries are annually assessed for impairment when there are indicators of impairment, no impairment has been identified.

The Company has investments directly and indirectly in the following subsidiaries:

Name	Ref	Principal activity	Company's proportion of ownership interest
101 Investments (GP) Limited	1	General Partner to UK Limited Partnerships	100%
Atlantic GP 1 Limited	1	General Partner to UK Limited Partnerships	100%
Atlantic GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
Atlantic GP LLP	2	General Partner to UK Limited Partnerships	-
BBTPS GP Limited	1	General Partner to UK Limited Partnerships	100%
BBTPS FP GP Limited	2	Founder Partner to UK Limited Partnerships	100%
BBTPS Nominees Limited	1	Nominee company	100%
BC II FP Limited	1	Dormant entity	100%
BC II FP SGP Limited	2	Dormant entity	100%
BC GP 1 Limited	1	General Partner to UK Limited Partnerships	100%
BC GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
BC II GP LLP	2	General Partner to UK Limited Partnerships	-
BC II GP LP	2	General Partner to UK Limited Partnerships	-
BC II MLP Limited	1	Managing Limited Partner to UK Limited Partnerships	100%

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries (continued)

Name	Ref	Principal activity	Company's proportion of ownership interest
BC MLP UK Limited	1	Managing Limited Partner to UK Limited Partnerships	100%
BC SMA Carry GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
BC SMA II Carry GP LLP	2	General Partner to UK Limited Partnerships	-
BC SMA II FP Limited	1	Founder Partner to UK Limited Partnerships	100%
BCLO Credit Investments I S.à r.l.	3	CLO Management Company	100%
BCO II Carry GP LLP	2	General Partner to UK Limited Partnerships	-
BCO III Carry GP LLP	2	General Partner to UK Limited Partnerships	-
BCO IV Carry GP LLP	2	General Partner to UK Limited Partnerships	-
BCO IV FP Limited	1	Founder Partner to UK Limited Partnerships	100%
BDC GP LP	2	General Partner to UK Limited Partnerships	100%
BDC II (SGP) Limited	2	General Partner to UK Limited Partnerships	100%
BDC II FP GP Limited	2	Founder Partner to UK Limited Partnerships	100%
BDC II GP LP	2	General Partner to UK Limited Partnerships	-
BDC II Limited	1	Investment holding company	100%
BDC II Nominees Limited	1	Nominee company	100%
BDC III GP 1 Limited	1	General Partner to UK Limited Partnerships	100%
BDC III GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
BDC III GP LLP	1	General Partner to UK Limited Partnerships	-
BDC III Limited	1	Dormant entity	100%
BDC III Nominees Limited	1	Nominee company	100%
BDC III SFP GP Limited	2	Founder Partner to UK Limited Partnerships	100%
BDC GP 1 Limited	1	General Partner to UK Limited Partnerships	100%
BDC IV GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
BDC IV GP LLP	2	General Partner to UK Limited Partnerships	-
BDC IV GP LP	2	General Partner to UK Limited Partnerships	-
BDC IV Limited	1	Dormant entity	100%

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries (continued)

Name	Ref	Principal activity	Company's proportion of ownership interest
BDC IV MLP Limited	1	Managing Limitedl Partner to UK Limited Partnerships	100%
BDC IV Nominees Limited	1	Nominee company	100%
BDC IV SFP GP Limited	2	General Partner to UK Founder Partner	100%
BDC Special 1 Limited	2	Dormant entity	100%
BDC Special 2 Limited	2	Dormant entity	100%
BDC Special GP LLP	2	Dormant entity	-
BDCP II (Nominees) Limited	1	Nominee company	100%
BDCP II GP 1 Limited	1	General Partner to UK Limited Partnerships	100%
BDCP II GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
BDCP II GP LLP	2	General Partner to UK Limited Partnerships	-
BDCP II GP LP	2	General Partner to UK Limited Partnerships	-
BDCP II Limited	1	Investment holding company	-
BDCP II MLP Limited	1	Managing Limited Partner to UK Limited Partnerships	100%
BDCP II SFP GP Limited	2	General Partner to UK Limited Partnerships	100%
BDL I Carry GP LLP	2	General Partner to UK Limited Partnerships	-
BDL II Carry GP S.à r.l	3	General Partner to Luxembourg Limited Partnerships	100%
BDL III Carry GP LLP	2	General Partner to UK Limited Partnerships	-
BDL III FP Limited	1	Founder Partner to UK Limited Partnerships	100%
BEP IV (Nominees) Limited	1	Nominee company	100%
BEP IV FP Limited	1	Founder Partner to UK Limited Partnerships	100%
BEP IV FP SGP Limited	2	General Partner to UK Founder Partner	100%
BEP IV GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
BEP IV GP LLP	2	General Partner to UK Limited Partnerships	-
BEP IV GP LP	2	General Partner to UK Limited Partnerships	-
BEP IV MLP Limited	1	Managing Limited Partner to UK Limited Partnerships	100%
BEV FP Limited	1	Founder Partner to UK Limited Partnerships	100%
BEV FP SGP Limited	2	General Partner to UK Founder Partner	100%
BEV GP 2 Limited	1	General Partner to UK Limited Partnerships	100%

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries (continued)

Name	Ref	Principal activity	Company's proportion of ownership interest
BEV GP LLP	1	General Partner to UK Limited Partnerships	100%
BEV GPC Limited	1	General Partner to UK Limited Partnerships	100%
BEV Nominees Limited	1	Nominee company	100%
BEV Nominees II Limited	1	Nominee company	100%
BEV MLP Limited	1	Managing Limited Partner to UK Limited Partnerships	100%
BE VI FP Limited	1	Founder Partner to UK Limited Partnerships	100%
BE VI FP SGP Limited	2	General Partner to UK Founder Partner	100%
BE VI GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
BE VI GP LLP	2	General Partner to UK Limited Partnerships	-
BE VI GP LP	2	General Partner to UK Limited Partnerships	-
BE VI MLP Limited	1	Managing Limited Partner to UK Limited Partnerships	100%
BE VI Nominees Limited	1	Nominee company	100%
Bridgepoint AB	5	Private equity advisory company	100%
Bridgepoint Advantage Limited	1	Dormant entity	100%
Bridgepoint Advantage MLP Limited	1	Managing Limited Partner to UK Limited Partnerships	100%
Bridgepoint Advantage FP Limited	1	Founder Partner to UK Limited Partnerships	100%
Bridgepoint Advantage FP SGP Limited	2	General Partner to UK Founder Partner	100%
Bridgepoint Advantage GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
Bridgepoint Advantage GP LLP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Advantage GP LP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Advantage Nominees Limited	1	Nominee company	100%
Bridgepoint Advisers Europe Limited	1	Private equity advisory company	100%
Bridgepoint Advisers II Limited	1	Private equity management company	100%
Bridgepoint Advisers Limited	1	Private equity management company	100%
Bridgepoint Advisers UK Limited	1	Private equity advisory company	100%
Bridgepoint Capital (Doolittle) Limited	1	Dormant entity	100%
Bridgepoint Capital (Nominees) Limited	1	Nominee company	100%
Bridgepoint Capital Directorships Limited	1	Dormant entity	100%
Bridgepoint Capital General Partner LP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Capital Scottish GP Limited	2	General Partner to UK Limited Partnerships	100%
Bridgepoint Capital Partners Limited	1	Dormant entity	100%
Bridgepoint Capital Verwaltungs GmbH	6	General Partner to German Partnerships	100%

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries (continued)

Name	Ref	Principal activity	Company's proportion of ownership interest
Bridgepoint Credit AD GP S.à r.l.	3	General Partner to Luxembourg Partnerships	100%
Bridgepoint Credit BOCPIF GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit Carry GP LLP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Credit Carry LP	2	Carry Partnership	-
Bridgepoint Credit Co-Invest GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit Empire GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit France SAS	12	Credit fund management company	100%
Bridgepoint Credit GP Verwaltungs GmbH	13	General Partner to German Partnerships	100%
Bridgepoint Credit Holdings Limited	1	Investment holding company	100%
Bridgepoint Credit Limited	1	Credit fund management company	100%
Bridgepoint Credit Management Limited	1	Credit fund management company	100%
Bridgepoint Credit MSPD GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit MPD GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit Nominees Limited	1	Nominee company	100%
Bridgepoint Credit Opportunities II GP Limited	2	General Partner to UK Limited Partnerships	100%
Bridgepoint Credit Opportunities II GP LP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Credit Opportunities III GP Limited	2	General Partner to UK Limited Partnerships	100%
Bridgepoint Credit Opportunities III GP LP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Credit Opportunities IV GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit Opportunities SICAV GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit Partners Limited	1	Dormant entity	100%
Bridgepoint Credit PPF GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Credit Services S.à r.l.	3	Credit fund advisory company	100%
Bridgepoint Credit Advisers UK Limited	1	Credit fund advisory company	100%
Bridgepoint Debt Funding Limited	1	Dormant entity	100%
Bridgepoint Debt Management Limited	1	Dormant entity	100%
Bridgepoint Debt Managers Limited	1	Dormant entity	100%
Bridgepoint Development Capital Limited	1	Dormant entity	100%
Bridgepoint Direct Lending II GP S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Direct Lending III GP S.à r.l.	3	General Partnership to UK Limited Partnerships	100%
Bridgepoint Europe (SGP) Limited	2	GP to UK Limited Partnerships	100%

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries (continued)

Name	Ref	Principal activity	Company's proportion of ownership interest
Bridgepoint Europe III FP (GP) Limited	2	Founder Partner to UK Limited Partnerships	100%
Bridgepoint Europe III (GP) Limited	1	GP to UK Limited Partnerships	100%
Bridgepoint Europe III GP LP	2	GP to UK Limited Partnerships	-
Bridgepoint Europe IV (Nominees) 1 Limited	1	Nominee company	100%
Bridgepoint Europe IV (Nominees) Limited	1	Nominee company	100%
Bridgepoint Europe IV FP (GP) Limited	2	Founder Partner to UK Limited Partnerships	100%
Bridgepoint Europe IV General Partner LP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Europe IV General Partner 'F' LP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Europe Limited	1	General Partner to UK Limited Partnerships	100%
Bridgepoint Europe Managerial LLP	1	Limited partner to UK Limited Partnerships	-
Bridgepoint Europe VII (GP) S.à r.l.	3	General Partner to Luxembourg Limited Partnerships	100%
Bridgepoint Europe VII FP Limited	1	Founder Partner to UK Limited Partnerships	100%
Bridgepoint Europe VII GP 2 Limited	1	General Partner to UK Limited Partnerships	100%
Bridgepoint Europe VII GP LLP	1	General Partner to UK Limited Partnerships	-
Bridgepoint Europe VII Nominees Limited	1	Nominee company	100%
Bridgepoint Europe VII MLP Limited	1	Managing Limited Partner to UK Limited Partnership	100%
Bridgepoint Finance Limited	1	Dormant entity	100%
Bridgepoint GmbH	6	Private equity advisory company	100%
Bridgepoint GP2 LLP	2	General Partner to UK Limited Partnerships	-
Bridgepoint Growth I GP LLP	1	General Partner to UK Limited Partnerships	-
Bridgepoint Growth Limited	1	Dormant entity	100%
Bridgepoint Growth Nominees Limited	1	Nominee company	100%
Bridgepoint Holdings Group Limited	1	Dormant entity	100%
Bridgepoint Holdings Limited	1	Dormant entity	100%
Bridgepoint Infrastructure Advisers Limited	1	Dormant entity	100%
Bridgepoint Infrastructure Development Limited	1	Dormant entity	100%
Bridgepoint Infrastructure Limited	1	Dormant entity	100%
Bridgepoint International Limited	1	Dormant entity	100%
Bridgepoint Investment Consultants (Shanghai) Co Ltd	8	Private equity advisory company	100%
Bridgepoint Loan Fund GP S.à r.l.	3	General Partner to Luxembourg Partnerships	100%
Bridgepoint Netherlands BV	9	Private equity advisory company	100%

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries (continued)

Name	Ref	Principal activity	Company's proportion of ownership interest
Bridgepoint Partners Limited	1	Dormant entity	100%
Bridgepoint Private Equity Group Limited	1	GP to UK Limited Partnerships	100%
Bridgepoint Private Equity Limited	1	Dormant entity	100%
Bridgepoint Property Advisers Limited	1	Dormant entity	100%
Bridgepoint Property Development Limited	1	Dormant entity	100%
Bridgepoint Real Estate Advisers Limited	1	Dormant entity	100%
Bridgepoint Real Estate Development Limited	1	Dormant entity	100%
Bridgepoint Real Estate Limited	1	Dormant entity	100%
Bridgepoint Real Limited	1	Dormant entity	100%
Bridgepoint SA	10	Private equity advisory company	100%
Bridgepoint SAS	7	Private equity advisory company	100%
Bridgepoint Services France SAS	12	Private equity advisory company	100%
Bridgepoint Services Sarl	3	Private equity advisory company	100%
Bridgepoint Sp Zoo (in liquidation)	11	Private equity advisory company	100%
Bridgepoint Sp Zoo sp.k (in liquidation)	11	Private equity advisory company	100%
Bridgepoint Structured Credit Limited	1	Dormant entity	100%
Bridgepoint Ventures Limited	1	Dormant entity	100%
Bridgepoint, LLC (formerly Bridgepoint, Inc.)	14	Private equity advisory company	100%
George Town (Nominees) Limited	1	Dormant entity	100%
Horninghaven Limited	1	Dormant entity	100%
Horningway Limited	1	General Partner to UK Limited Partnerships	100%
HPE II GP LP	2	General Partner to UK Limited Partnerships	-
HPE SGP Limited	2	General Partner to UK Limited Partnerships	100%
LORAC 5 Limited	1	Investment holding company	100%
LORAC BC Co-Investment Limited	1	Investment holding company	100%
LORAC BC II Limited	1	Investment holding company	100%
LORAC BDC III Limited	1	Investment holding company	100%
LORAC BDC IV Limited	1	Investment holding company	100%
LORAC BDC Limited	1	Investment holding company	100%
LORAC BDCP II Limited	1	Investment holding company	100%
LORAC BEP IV Limited	1	Investment holding company	100%
LORAC BE VI Co-Investment Limited	1	Investment holding company	100%
LORAC BG I Limited	1	Investment holding company	100%
LORAC Eagle Limited	1	Investment holding company	100%
LORAC KITE Limited	1	Investment holding company	100%
New HPE II GP LP	2	General Partner to UK Limited Partnerships	100%
Opal Investments LP	2	Investment holding partnership	-
PEPCO Services LLP	1	Collective purchasing negotiator	-
Ruby Investments (UK) Limited	1	Investment holding company	100%
Sapphire Investments (Guernsey) Limited	4	Investment holding company	100%
Throttle Nominees Limited	1	Nominee company	100%
BCO IV LORAC Limited	1	Investment holding company	100%
LORAC 6 Limited	1	Investment holding company	100%

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

9 Investments in subsidiaries (continued)

Name	Ref	Principal activity	Company's proportion of ownership interest
LORAC Carry BC SMA II Limited	1	Investment holding company	100%
LORAC Carry BCO IV Limited	1	Investment holding company	100%
LORAC Carry BDL III Limited	1	Investment holding company	100%
BDL III LORAC Limited	1	Investment holding company	100%
BEV Germany GP Co Limited	4	General Partner	100%
BE VII GP SCSp	3	General Partner to UK Limited Partnerships	-
BG II GP LLP	1	General Partner	-
BDC V Nominees Limited	1	Nominee company	100%
Bridgepoint Europe V Finance 1 Limited	1	Dormant entity	100%
Bridgepoint Europe VII FP SGP Limited	2	Dormant entity	100%
Bridgepoint Fund Management S.à r.l.	3	Private equity management company	-
Bridgepoint Loan Fund GP GmbH & Co. KG	13	General Partner	-
Bridgepoint Europe V Finance GP LLP	1	General Partner	-
Bridgepoint Direct Lending IV GP S.à r.l.	3	General Partner	100%
Bridgepoint Development Capital V GP S.à r.l.	3	General Partner	100%
Bridgepoint Credit PS GP S.à r.l.	3	General Partner	100%
Bridgepoint Credit CLO GP S.à r.l.	3	General Partner	100%
Bridgepoint Advisers Singapore Pte. Ltd	16	Private equity advisory company	100%
BE VI Nominees II Limited	1	Nominee company	100%
BDC V MLP Limited	1	Managing Limited Partner	100%
BDC V GP SCSp	3	General Partner	-
BDC V GP LLP	1	General Partner	-
BDC V GP 2 Limited	1	General Partner	100%
Bridgepoint US Holdings Limited	1	Dormant entity	100%
BG II Nominees Limited	1	Nominee company	100%

Ref	Registered office
1	5 Marble Arch, London, W1H 7EJ, United Kingdom
2	50 Lothian Road, Festival Square, Edinburgh, EH3 9WJ, Scotland, United Kingdom
3	6B Rue du Fort Niedergrünwald, L-2226, Luxembourg
4	1 Royal Plaza, Royal Avenue, St Peter Port, GY1 2HL, Guernsey
5	Mäster Samuelsgatan 1, S-111 44 Stockholm, Sweden
6	Nexttower, Thurn-und-Taxis-Platz 6, 60313 Frankfurt, Germany
7	21 Avenue Kleber, 75116, Paris, France
8	Unit 2103-05, ONE ICC, No 999 Middle Huaihai Road, Shanghai, Xuhui District, China
9	Paulus Potterstraat 22A, 1071 DA, Amsterdam, Netherlands
10	Calle Rafael Calvo, 39A-4° - 28010 Madrid, Spain
11	ul. Rondo ONZ 1, 00-124, Warsaw, Poland
12	21 rue La Pérouse, 75116, Paris, France
13	C/O Steigmaier Steuerberatungsgesellschaft mbH, Schleissheimer Str. 12, 85221, Dachau, Germany
14	251 Little Falls Drive, City of Wilmington 19808, County of New Castle
15	21 rue La Pérouse, 75017, Paris, France
16	10 Anson Road, #22-02, International Plaza, Singapore (079903)

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

10 Fund investments

	Fund investments £ 000
At 1 January 2022	229,183
Additions	35,798
Disposals	(70,382)
Change in fair value	31,959
Foreign exchange	11,696
At 31 December 2022	<u>238,254</u>
At 1 January 2023	238,254
Additions	34,307
Disposals	(6,492)
Change in fair value	17,622
Foreign exchange	(5,191)
At 31 December 2023	<u>278,500</u>

The investments primarily consist of loans or commitments made in relation to the Bridgepoint Europe VII, VI and V, Bridgepoint Europe Portfolio IV, Bridgepoint Development Capital IV and III private equity funds, and the Bridgepoint Credit Opportunities IV credit funds.

The Company has an investment in Opal Investments LP, which is an investor in the Bridgepoint Europe V Fund partnerships. Under the limited partnership agreement, a third party had the right to receive up to 100% of the profits from the partnership unless the Group exercised an option to trigger up to 85% of the profits of the partnership from the date of the exercise of the option. Effective 31 December 2020, the option was exercised therefore 85% of current year and accumulated prior year profits from the partnership have been recognised by the Company within the profit and loss account as income from investment in limited partnerships. The amount recognised in the profit and loss account for the current year is loss of £2,519,000 (2022: profit of £1,817,000).

During 2023 the Company invested a further £7,085,000 (2022: £35,940,000) (21.7%) in Maple Tree VII LP. Under the limited partnership agreement, third-party investors have the right to receive the higher of a preferred return and multiple of drawn commitments, along with a share of residual profits from the partnership. As at 31 December 2023, no commitment had been drawn from the third-party investors.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

11 Carried interest receivable

	2023 £ 000	2022 £ 000
As at 1 January	39,397	36,977
Additions	7	23
Change in value	29,875	22,561
Receipts of carried interest	(4,037)	(21,242)
Foreign exchange movements	(421)	1,078
As at 31 December	<u>64,821</u>	<u>39,397</u>

The Company is entitled to receive carried interest, once triggered, from BEV SFP LP, BEV SFP II LP, BDC III SFP LP, Bridgepoint Europe IV FP LP, Bridgepoint Capital Delaware General Partner LP, and Bridgepoint Growth I SFP LP, limited partnerships incorporated and registered in Scotland.

12 Debtors

	2023 £ 000	2022 £ 000
Amounts due within one year:		
Amounts owed by group undertakings	114,030	100,275
Other debtors	4,727	56,952
Prepayments and accrued income	144	371
	<u>118,901</u>	<u>157,598</u>

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

12 Debtors (continued)

Amounts owed by Group undertakings represent short term receivables due from the shareholders and other Group entities. There is no risk to recoverability. These amounts are unsecured, interest free, have no fixed date of repayments and are payable on demand.

Other debtors has decreased primarily due to receipt of initial payment of £52.8m (€59.5m) in February 2023 in relation to the sale of the holding in Bridgepoint Credit II ("BC II") that completed in October 2022.

	2023 £ 000	2022 £ 000
Amounts due in more than one year:		
Other debtors	3,301	3,380
	<u>3,301</u>	<u>3,380</u>

In October 2020, the sale of the holding in Bridgepoint Credit I A was completed with an initial payment of £18.7m (€20.5m) which was received in the same month. A further €3.8m is due to be paid to Bridgepoint following distributions to the purchasers in excess of a set threshold return.

13 Creditors: amounts falling due within one year

	2023 £ 000	2022 £ 000
Amounts owed to group undertakings	315,376	332,019
Group relief payable	21,426	16,828
Other creditors	308	319
Accruals and deferred income	284	250
	<u>337,394</u>	<u>349,416</u>

These amounts are unsecured, interest free, have no fixed date of repayments and are payable on demand.

	2023 £ 000	2022 £ 000
Due after one year		
Other non-current financial liabilities	12,603	12,934

In April 2021, a subsidiary company, Bridgepoint Credit Holdings Limited, issued shares to certain employees of the Group as part of a management incentive scheme. The shares are subject to a put and call option, whereby the participating employees have the option to sell and the Company has the option to buy back the shares in the future based upon a pre-determined formula which considers the amount of funds raised and the resulting management fees over a five year-period. As at 31 December 2023, no expenses have been incurred (2022: nil). The change in balance relates to foreign exchange movements.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

14 Financial instruments

Fair value hierarchy

Fair value is the price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at the measurement date in the principal, or in its absence, the most advantageous market to which the Company has access to at that date. The fair value of a liability reflects its non-performance risk.

The Company discloses fair values using the following fair value hierarchy that reflects the significance of the inputs used in making the measurements:

- Level 1: Quoted prices (unadjusted) in active markets for identical assets or liabilities;
- Level 2: Inputs other than quoted prices included within level 1 that are observable for assets or liabilities, either directly (i.e. as prices) or indirectly (i.e. derived from prices); and
- Level 3: Inputs for assets or liabilities that are not based on observable market data (i.e. unobservable inputs).

The following table summarises the valuation of the Group's financial assets and liabilities by fair value hierarchy:

	2023 £ 000	2022 £ 000
Financial Assets		
Level 1	-	-
Level 2	-	-
Level 3	278,489	237,825
	<u>278,489</u>	<u>237,825</u>
Financial Liabilities		
Level 1	-	-
Level 2	-	-
Level 3	-	-
	<u>-</u>	<u>-</u>

Further disclosure around key estimation uncertainty and valuation techniques surrounding the fair value measurements of financial instruments are available in note 19 - Fair value measurement within the publicly available financial statements for Bridgepoint Group plc.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

15 Financial risk management

Market risk

Market risk arises from the Company's exposure to foreign currencies. The Company is exposed to two types of foreign exchange risk:

- Transaction risk: the adverse effect that foreign exchange rate fluctuations can have on a completed transaction prior to settlement. It is the exchange rate, or currency, risk associated specifically with the time delay between entering into a trade or contract and then settling it. As the majority of the Company and Group's income is denominated in euro, this means that its income when recognised in pound sterling is subject to exposure to foreign exchange rate movements over time.
- Translation risk: the risk of adverse changes in the rates at which assets, liabilities, income or costs in foreign currencies are translated into the reporting currency. The Company holds financial assets and liabilities denominated in currencies other than pound sterling, the presentational currency of the Company. Consequently, the Company is exposed to currency risk since the value of financial assets and liabilities denominated in other currencies will fluctuate due to change in exchange rate.

The Company's primary exposure to assets and liabilities in foreign currencies is to investments in funds and carried interest receivable, which are predominantly held in euro. In order to remove the risk of volatility in the Company's earnings on the translation of assets at each year end, a Group affiliate has entered into a series of forward trades and swap agreements to sell euro and buy pound sterling at various dates in the future that match the expected date of receipts from the underlying funds on behalf of the Company.

These hedges are in place to match expected future cash flows, and the Company has decided to use hedge accounting as allowed and determined under IFRS 9 "Financial Instruments". The hedge ratio is tracked by comparing the nominal value of outstanding trades to the Group's total exposure to fund investments and loans denominated in a foreign currency.

Price and valuation risk

Price and valuation risk is the uncertainty about the difference between the reported value and the price that could be obtained on exit or maturity of an asset or liability. This principally relates to investments in funds, which hold portfolios of private equity and debt investments.

This uncertainty arises due to the use of unobservable inputs in the calculation of fair value, the performance and financial health of portfolio companies and, ultimately - in relation to investments in private equity - what a third party may be willing to pay for the relevant business. There is less uncertainty for investments in debt as the upside is capped to the maximum of the principal and interest receipts, whereas private equity investments have greater potential for larger changes in their valuation as the upside is not capped.

The Group monitors the performance of each investment closely. Portfolio monitoring is embedded and maintains focus throughout the investment life of each company. All investments are formally reviewed through dedicated Portfolio Monitoring Committees. The review process involves a rigorous assessment of the company's financial performance, financial health (including covenant coverage) and exit prospects. The Group values all investments in line with the IPEV Guidelines at least twice a year, and in most cases quarterly. Each investment undergoes the same detailed valuation process, in accordance with the Group's valuation policies. Completed valuations are presented and discussed at the relevant Bridgepoint Valuation Committee for approval.

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

15 Financial risk management (continued)

Credit risk

Credit risk is the risk that a counterparty will be unable to meet their obligations in full, when due. Potential areas of credit risk consist of cash and cash equivalents, including deposits with banks and financial institutions, short-term receivables and investments, including bonds issued by a subsidiary company. The maximum exposure to credit risk at the reporting date of these financial assets is their carrying amount. The Company limits its exposure in relation to cash balances by only dealing with well-established financial institutions of high quality credit standing.

Liquidity risk

Liquidity risk is the risk that cash may not be available to pay obligations when due. The risk is not considered to be material as the majority of the balances are held with other Group companies.

16 Called up share capital

Authorised

	2023		2022	
	No.	£ 000	No.	£ 000
Ordinary Shares of £1 each	<u>5,329,000</u>	<u>5,329</u>	<u>5,329,000</u>	<u>5,329</u>

Allotted, called up and fully paid shares

	2023		2022	
	No.	£ 000	No.	£ 000
Ordinary Shares of £1 each	<u>5,329,000</u>	<u>5,329</u>	<u>5,329,000</u>	<u>5,329</u>

The shares have the rights and restrictions as set out in the Articles of Association of the Company.

17 Dividends

The Company has not paid a dividend in the year (2022: nil).

Bridgepoint Advisers Holdings

Notes to the Financial Statements for the Year Ended 31 December 2023

18 Parent and ultimate parent undertaking

The Company's immediate parent is Bridgepoint Advisers Group Limited, incorporated in England and Wales, United Kingdom. The address of Bridgepoint Advisers Group Limited's registered office is 5 Marble Arch, London, W1H 7EJ.

The parent of the largest and smallest group in which these financial statements are consolidated is Bridgepoint Group plc, incorporated in England and Wales, United Kingdom. The address of Bridgepoint Group plc's registered office is 5 Marble Arch, London, W1H 7EJ.

The financial statements of Bridgepoint Advisers Group Limited and Bridgepoint Group plc are available from Companies House, Crown Way, Cardiff, CF14 3UZ.

19 Events after the end of the reporting period

There have been no material events after the reporting period that would require adjusting or disclosing within these accounts.